



Advantages of Using Fixed Price



Assured Revenue

One of the primary advantages for the consulting firm is the assurance of a guaranteed revenue stream for the duration of the project, as long as the contractual terms are met.

This predictability allows for better financial planning and resource allocation.



Predictable Cash Flow

With fixed milestones and payment schedules, the consulting firm can better manage its cash flow and financial planning.

This stability is precious for smaller firms or those with limited working capital.



Client Cost Certainty

From the client's perspective, a fixed price model offers cost certainty, as they know the exact cost of the engagement upfront.

This allows for better budgeting and cost control, minimising the risk of unexpected expenses or budget overruns.



Incentive for Efficiency

The consulting firm is incentivised to optimise its resource allocation and processes to maximise profitability within the fixed price constraint.

This can lead to increased efficiency and productivity.